Litong Zhang (张历潼)

CONTACT INFORMATION

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EDUCATION

University of Southern California 2021 – 2027 (expected)
Marshall School of Business
Ph.D. in Finance and Business Economics

Duke University 2019 – 2021
M.A. in Economics
2019–2021 Duke Economics Master's Scholar Awards

University of Utah 2014 – 2018
B.S. in Finance and Mathematics
Magna Cum Laude

RESEARCH INTERESTS

Social Finance, Behavioral Finance, Cognitive Biases in Trading, Empirical Asset Pricing, High-Frequency Text Analysis, LLM-Supervised Text Classification

WORKING PAPERS

[1] Reference-Dependent Sentiment *(Job Market Paper)*

– Abstract: Under what circumstances is a given paper gain/loss more relevant to trading decisions? I examine whether reference-dependent thinking among investors is associated with the strength of disposition-effect trading. Using 185.1 million StockTwits posts from 2013 to 2024 and an LLM-supervised classification, I construct a daily measure of reference-dependent sentiment, capturing whether investors frame their positions as gains or losses relative to past prices. In the cross-section, talking about gains (losses) is associated with more (less) retail selling of stocks with embedded gains (losses). At the market level, when investors talk more about gains (losses), turnover is higher (lower) on up-market (down-market) days. Around earnings announcements, buying good-news stocks after investors have been talking about gains and selling bad-news stocks after they have been talking about losses earns a Fama-French five-factor alpha of 1.03% per month, or 12.4% annualized, while the reverse strategy does not. Exploiting the introduction of StockTwits' leaderboard as a plausible shock to framing legitimacy, I find that public reinforcement of gain-loss framing strengthens the relationship between reference-dependent sentiment and trading. Overall, reference-dependent sentiment identifies when the disposition effect shows up more strongly in trading and in prices around earnings news.

[2] Reference-Point Fluency and Memorability

– Abstract: Are all reference points equally influential? Round-number purchase prices are associated with a larger disposition effect, the tendency to sell winning investments while holding losing ones. The gain-loss gap is 6.20 percentage points for regular-price positions and 8.60 for round-price positions, a 39 percent amplification; in account-level regressions the round-versus-regular amplifica-

tion remains about 1.2 to 2.0 percentage points, or roughly one-third of the baseline disposition effect on regular-price holdings. A stock-split design helps address purchase-time selection: the amplification persists when the adjusted basis remains round and vanishes when the split breaks roundness. One interpretation is that round purchase prices are more fluent and memorable reference points, making the gain-loss distinction more salient when investors decide whether to sell. The amplification survives tests for taxes, rank-based selling, rebalancing, portfolio concentration, and liquidity. At the market level, round consensus earnings forecasts are associated with more announcement-window trading, stronger announcement returns following positive surprises, and less subsequent drift.

WORKING IN PROGRESS

[3] Reference-Dependent Sentiment and Price Dynamics

– Abstract: How does reference-dependent sentiment predict the path of stock prices? I examine whether investors' discussion of gains and losses predicts returns at different horizons. Using an LLM-supervised classification of StockTwits posts, I measure the daily intensity of reference-dependent sentiment in the market. When investors talk more about gains, subsequent prices fall in the short run, consistent with gain realization creating selling pressure. The effect weakens at intermediate horizons, and prices reverse upward at longer horizons. This pattern is consistent with temporary selling pressure that is gradually absorbed as the market clears, with limits to arbitrage potentially delaying price adjustment. Overall, the evidence suggests that reference-dependent sentiment helps predict not only whether investors trade, but also the timing of price pressure and its reversal.

[4] Social Gathering and Amplified Familiarity Bias

– Abstract: This paper investigates the causal role of contemporaneous social interaction in mutual fund managers' portfolio choices. Using manually collected information on the Top 30 MBA networks of alumni reunion cohorts, I show that mutual fund managers connected to senior officers (defined as CEO, CFO, and Chairman) at firms increase connected holdings following the MBA alumni reunions. My stock-level performance tests show fund managers do not achieve any significant positive returns on these connected positions following reunion events. My results are in favor of the familiarity hypothesis. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns. These findings highlight the role of social networks as channels for the formation of behavioral bias.

PRESENTATIONS

2026

– USC Marshall Brownbag Seminar

2024–2025

– USC Marshall ($\times$ 2)

2022–2023

– Conferences: USC Finance PhD Miniconference

HONORS & AWARDS

USC Marshall PhD Fellowship
Duke Economics Master's Scholar Awards, 2019–2021
Magna Cum Laude, University of Utah 2018

TEACHING

Sole Instructor, USC Marshall

– ECON 351 Microeconomics for Business, Undergraduate Core Fall 2024

Teaching Assistant, USC Marshall
– GSBA 602 Selected Issues in Economic Theory I, PhD Core (Anthony Marino) Fall 2023
– GSBA 612 Selected Issues in Economic Theory II, PhD Core (Odilon Câmara) Spring 2024

SERVICE

Organizer: USC Finance PhD Conference 2024, 2025

OTHER EXPERIENCE

Research Assistant to David Hirshleifer, USC Marshall 2022 – Present
Research Assistant, Duke Fuqua 2019 – 2021
– Research Assistant to Alon Brav
– Research Assistant to Sharon Belenzon
Research Assistant to Matthew Ringgenberg, University of Utah 2019 – 2021
Research Assistant to Elena Simintzi, UNC Kenan-Flagler 2019 – 2021

OTHER INFORMATION

Programming: Python, R, Stata, SAS, SQL
ML/Tools: PyTorch, HuggingFace Transformers, DeBERTa, GPT API (OpenAI), scikit-learn, LLM fine-tuning & prompting
Data: CRSP, Compustat, WRDS, I/B/E/S, StockTwits
Languages: Chinese (Mandarin, native), English (fluent)
GRE: 334 (V 167, Q 167, AW 4.0)

REFERENCES

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